

Canada

Canada's Competition Bureau

The Competition Bureau of Canada (Bureau) administers and enforces Canada's competition and labeling laws for the benefit of consumers and businesses. The Digital Enforcement and Intelligence Branch (DEIB) was created in 2021 to strengthen the Bureau's ability to protect and promote competition in Canada. To better keep pace with dynamic and increasingly data-driven markets, the DEIB introduces new skills and centralized functions to the organization. These include behavioral psychology, data science, intelligence, and remedies.

The Bureau welcomes the opportunity to provide its third contribution to the Stanford Computational Antitrust Project's Annual Report. As of May 2025, the Bureau's newest branch has approximately 55 members and has grown by more than 60 percent since last year's submission. This submission builds on the previous two years' contributions by highlighting the establishment of a dedicated Behavioral Insights Unit, the outcome of last year's public consultation on interactions between artificial intelligence (AI) and competition, and a few innovative computational tools that are being developed to enhance the Bureau's competition promotion and enforcement efforts.

I. Building Behavioral Insights into the Bureau's work

The Behavioral Insights Unit (BIU) was established in March 2024 to enhance the Bureau's understanding of how decisions are made by consumers and businesses. While the BIU began with two members, it has since grown to house a team of seven psychologists. This is largely due to the BIU's successful approach to integrating with competition promotion and enforcement teams to advance the application of behavioral science to the Bureau's work.

In its first year, the BIU has delivered tangible value adds. Its members provided targeted support to 25 of the organization's enforcement cases and promotion efforts. Additionally, it played a leadership role on the international stage by co-founding the OECD Working Group on Behavioral Science and Competition. This initiative brings together behavioral scientists from member competition authorities to exchange knowledge, experiences, and lessons learned. Domestically, the BIU has been an active participant in the Canadian Digital Regulators Forum

(CDRF).² The CDRF is a partnership between the Competition Bureau, the Office of the Privacy Commissioner of Canada, the Canadian Radio-television and Telecommunications Commission, and the Copyright Board of Canada. Its purpose is to strengthen collaboration and information sharing on matters of common interest that relate to digital markets and platforms. The BIU's involvement has resulted in a behavioral science section exploring the effectiveness of labeling strategies being included in an upcoming joint publication on synthetic media.

II. Strengthening the Bureau's Understanding of AI and Competition

AI continues to be a priority area for the Bureau. To build the Bureau's knowledge and capacity with respect to AI and its implications for competition, the DEIB published a discussion paper in March 2024 for consultation. In response, the Bureau received 28 submissions from a range of domestic and international stakeholders. These included individuals, consumer advocacy groups, think tanks, members of academia and the legal community, industry associations, and large technology companies. In January 2025, the Bureau published a 'What We Heard Report' to summarize this feedback.³

III. Computational Tools to Enhance Competition Promotion and Enforcement

Internally, the Data and Analytics Unit (DAU) within the DEIB has been active in developing computational tools to create efficiencies and enhance competition promotion and enforcement teams' work. Below are a few examples of tailored solutions that are currently under development or have recently been deployed.

A. Competition Advocacy Tools

Part of the Bureau's work involves advocating for pro-competitive policies at all levels of government. The DAU has developed a Public Consultations Email Alert to reduce the manual burden involved in identifying advocacy opportunities. This tool

² Competition Bureau Canada, Canadian Digital Regulators Forum, Canada.ca, <https://competition-bureau.canada.ca/en/how-we-foster-competition/collaboration-and-partnerships/canadian-digital-regulators-forum>.

³ Competition Bureau Canada, Consultation on Artificial Intelligence and Competition: What We Heard, Canada.ca, <https://competition-bureau.canada.ca/en/how-we-foster-competition/education-and-outreach/consultation-artificial-intelligence-and-competition-what-we-heard>.

aggregates new public consultations from 14 selected jurisdictions across Canada and delivers them to members of the Bureau by email at their selected frequency.

The DAU is also exploring the use of machine learning to identify regulatory barriers to competition in existing legislation to support the Bureau's advocacy for a whole-of-government approach to promoting competition in Canada.⁴

B. COMPASS

COMPASS, or 'Competition AI Secure System,' is a secure generative AI platform that the data scientists within the DAU are developing to equip Bureau staff with access to advanced AI capabilities that can handle sensitive information. It will strengthen the Bureau's ability to process large volumes of data and hone in on probative evidence more quickly and seeks to overcome limitations and security risks associated with third-party Large Language Models.

COMPASS is being built with several core functionalities tailored to the Bureau's needs. These include advanced document analysis features to streamline the review of large volumes of case materials, enabling tasks such as initial document assessment, automated summarization, and even analysis of submitted computer code. Furthermore, it will facilitate the creation of sophisticated internal knowledge bases, allowing staff to rapidly search and retrieve information from curated collections of Bureau resources, guidelines, competition law precedents, and sector-specific intelligence.

In the future, the DAU hopes to employ AI agents that can interact with complex datasets via natural language queries, significantly lowering the technical barrier for investigators to extract insights from structured data sources. Development is ongoing, focusing on creating a user-friendly interface to maximize adoption and impact.

C. Eagle Eye

Eagle Eye is a tool designed to support local market competition analysis. Frequently used in merger reviews, it can be used for any work involving geographic analysis. It processes location-specific data, starting with accurately mapping business locations using address validation and geocoding APIs. The tool

⁴ Competition Bureau Canada, A Whole-of-Government Approach to Promoting Competition, Canada.ca, <https://www.canada.ca/en/competition-bureau/news/2023/10/a-whole-of-government-approach-to-promoting-competition.html>.

automatically identifies geographic overlaps between relevant entities (like merging parties and competitors) based on distance and calculates market shares within these areas at various distance intervals. It then flags locations where combined market shares exceed specified thresholds.

In addition, *Eagle Eye* features an interactive dashboard for deeper investigation. Users can visually explore locations on a map, filter data by categories like brand or ownership, and trigger spatial analyses (such as radius, drive-time, or isochrone areas) from specific points. Crucially, investigators can select map zones or draw custom shapes, and the dashboard instantly updates a data table to show only locations within that area, dynamically calculating and displaying corresponding market shares aggregated by marketer and brand. This allows for flexible exploration of competitive overlap in specific geographic areas.

D. Proactive Bid-Rigging Screen

This interactive dashboard supports proactive cartel investigations by integrating public procurement bid data with other open sources of information. This proof of concept allows investigators to assess whether bidding activity aligns with known patterns of collusive behavior. Utilizing bid screens can complement existing law enforcement techniques, such as the Bureau's Immunity and Leniency Program, to detect and fight bid-rigging. This integrated approach enables investigators to visualize data, helping to identify subtle patterns and focus resources on potentially collusive activities.